



Start-up funding



5-10%
of small and
medium-sized
enterprises in
the UK need no
start-up funding



Investors

Equity capital is paid to the start-up in return for a share of the business.



Grants

Financial awards and prizes are provided by public bodies.



Founders, friends, family (FFF)

May buy shares in the company rather than lending money



Crowdfunding Large number of supporters, each contributing a small amount of money, usually online



Business angels Investors who give favorable terms because their focus is on the company's success rather than profit



Venture capitalists (VCs) Companies that provide capital for new businesses in the hope of making a profit



Local, national, global

Funded by a local authority, government initiative, or international charity

SUPER ANGELS

- **What they are** Serious investors in technology start-ups. Facebook was funded by super angels, some of whom are now famous in their own right.
- **Who they are** Former Silicon Valley professionals who invest their personal money in new ventures.
- **How they differ from ordinary angels and venture capitalists (VCs)** Funding level straddles the two, often reaching millions of dollars as what started out as a hobby becomes a profession.
- **Pros and cons** Super-angel investing acts like a magnet to other investors, but individual super angels can rarely provide the full funding of a VC.